

more serious answer than if you ask: “What are you guys doing about debt?”

Even if you have no script, you can learn something by asking two general questions: “What are the positives this year?” and “What are the negatives?” Maybe they’ll tell you about the plant in Georgia that lost \$10 million last year but has now been closed down, or about the unproductive division that’s being sold off for cash. Maybe some new product has come along to speed up the growth rate. Back in 1987, investor relations at Sterling Drug could have told you if the recent medical news about aspirin had boosted sales.

On the negative side, you’ll learn there’s been an increase in labor costs, that demand for a major product has slipped, that there’s a new competitor in the business, or that the falling (or rising) dollar is going to reduce profits. If it’s a clothing manufacturer you’re addressing, maybe you’ll discover that this year’s line isn’t selling and that inventories have piled up.

At the end, you can sum up the conversation: three negatives, four positives. In most cases you’ll hear something that confirms what you suspected—especially if you understand the business. But once in a while you’ll learn something unexpected—that things are either better or worse than they appear. The unexpected can be very profitable if you’re buying or selling stocks.

In the course of my research I find something out of the ordinary in about one out of every ten calls. If I’m calling depressed companies, then in nine cases the details will confirm that the companies ought to be depressed, but in the tenth case, there’ll be some new cause for optimism that isn’t generally perceived. The same ratio holds, but in reverse, for the companies that are supposedly in great shape. If I make 100 calls, I find 10 surprising situations, or if I make 1,000 calls, then 100.

Don’t worry. If you don’t own 1,000 companies, you don’t have to make 1,000 calls.

CAN YOU BELIEVE IT?

For the most part, companies are honest and forthright in their conversations with investors. They all realize that the truth is going to come out sooner rather than later in the next quarterly report, so there’s nothing to be gained by covering things up the way they sometimes do in Washington. In all my years of listening to thousands of corporate representatives tell their side of the story—as terrible as business might have gotten—I can only remember a few instances when I was misled deliberately.

So when you call investor relations, you can have full confidence that the facts you’ll be hearing are correct. The adjectives, though, will vary widely. Different kinds of companies have different ways of describing the same scene.